SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

Department 13
Honorable Daniel T. Nishigaya
R. Belligan, Courtroom Clerk
191 North First Street, San Jose, CA 95113
Telephone: 408-882-2240

DATE: June 12, 2026 TIME: 9:00 & 9:01 A.M.

TO CONTEST A TENTATIVE RULING, YOU MUST CALL (408) 808-6856 BEFORE 4:00 P.M. ON THE DAY PRIOR TO THE HEARING. You must also inform all other sides to the issue before 4:00 P.M. the day prior to the hearing that you plan to contest the ruling. The Court will not hear argument, and the tentative ruling will be adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.D.)

LINE #	CASE #	CASE TITLE	RULING
LINE 7	25CV471942	Jun Lu vs Rozita Dadgostari	Hearing: Demurrer Ctrl Click (or scroll down) on Line 7 for tentative ruling.
LINE 8	25CV481385	Amelia Gomez vs Accurate Consolidated Services Inc. et al	Hearing: Demurrer OFF CALENDAR due to the filing of a First Amended Complaint on June 1, 2026.

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Calendar Line 1

Case Name: *ISJ General Trading, LLC vs Capital Asset Exchange and Trading, LLC*
Case No.: 24CV448687

The basis of Defendant/Cross Complainant's motion for judgment on the pleadings is that Plaintiff/Cross Defendant, a corporation, is unrepresented in this litigation. (See *CLD Construction, Inc. v. City of San Ramon* (2004) 120 Cal.App.4th 1141, 1145 ["[U]nder a long-standing common law rule of procedure, a corporation, unlike a natural person, cannot represent itself before courts of record in propria persona, nor can it represent itself through a corporate officer, director or other employee who is not an attorney. It must be represented by licensed counsel in proceedings before courts of record."].) While it is true that Plaintiff/Cross Defendant cannot prosecute the action without legal counsel, this is not a basis upon which to grant judgment on the claims within the four corners of the pleadings or any facts subject to proper judicial notice.

Nevertheless, Defendant/Cross Complainant's concerns about Plaintiff/Cross Defendant's delinquency in retaining counsel is well taken. Therefore, the Court will set an Order to Show Cause on October 2, 2026, at 10:00 a.m. in Department 13 at which Plaintiff/Cross Defendant shall show cause why the complaint should not be dismissed for failure of Plaintiff/Cross Defendant to obtain counsel, and failure to prosecute, and show cause why Plaintiff/Cross Defendant's answer to the cross complaint should not be stricken for the same reasons.

The Court will prepare the final order.

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Calendar Line 2

Case Name: *Maria Lopez vs. American Honda Motor Co., Inc.*
Case No.: 24CV450955

Defendant moves to compel the deposition of Plaintiff. It also seeks monetary sanctions against Plaintiff and/or Plaintiff's counsel in the amount of $1,815.00 pursuant to the Code of Civil Procedure sections 2023.030 and 2025.450 subdivision (g)(1).

Motion to Compel Deposition of Plaintiff

Defendant, after receiving Plaintiff's objection to its deposition notice, emailed Plaintiff's counsel on February 13, 2026, requesting alternative dates. (Sadanaga Decl. ¶ 4.) When Plaintiff did not respond, Defendant emailed Plaintiff on March 16, 2026, requesting Plaintiff's availability, noting that it would involve the court if no response was made before March 24, 2026. (Sadanaga Decl. ¶ 4.) March 24 came and went. On April 1, 2026, Plaintiff's counsel emailed Defendant asking if the requested dates were provided, to which Defendant replied via email on April 3, 2026, that they had not, and again requested Plaintiff's availability. (Sadanaga Decl. ¶ 5.) Plaintiff failed to respond. On May 1, 2026, Defendant filed this motion. The Court is satisfied that Defendant attempted to resolve this discovery dispute prior to involving the Court and was left with no choice but to file the motion given Plaintiff's lack of engagement.

Misuses of the discovery process include "failing to respond or submit to an authorized method of discovery, making an evasive response to discovery, failing to confer or to attempt to confer…in a reasonable and good faith attempt to resolve informally any dispute concerning discovery." (Code Civ. Proc., § 2023.010.) Prior to Defendant's motion to compel, Defendant attempted several times to obtain alternative dates. (Sadanaga Decl. ¶ 6.) There was a lapse in Plaintiff's response from November 25, 2025, to April 1, 2026, and *again* from April 1, 2026, to June 1, 2026, after the motion had been filed. (Dias Decl. ¶ 2-5.) It was not until after Defendant filed this motion that Plaintiff ultimately responded. That response was to oppose the motion and finally to provide Defendant with acceptable dates - November 4, 6, and 9. (Dias Decl. ¶ 7.) This is a misuse of the discovery process.

Although Defendant has accepted the date of November 4, 2026, Plaintiff failed to confer properly to avoid the need for this motion. Therefore, the motion to compel the deposition of Plaintiff with document production within 10 days of the agreed upon date of November 4, 2026, is GRANTED.

Plaintiff shall appear for deposition and produce documents on or before November 14, 2026.

Monetary Sanctions

Code of Civil Procedure section 2023.030 states that the court may impose sanctions "against anyone engaging in conduct that is a misuse of the discovery process…unless it finds that the one subject to the sanction acted with substantial justification". (Code Civ. Proc., § 2023.030.) Plaintiff's opposition states that during the months of March and April 2026, internal staffing changes related to Plaintiff's handling attorneys transitioning out of the firm contributed to “some delay” in communication with Defendant. (Dias Decl. ¶ 5.) On June 1, 2026, Plaintiff’s counsel took corrective measures by providing alternative dates of November 4, 6, and 9th, 2026. (Dias Decl. ¶ 7.) While such explanation may negate a finding of “deliberate obstruction,” it does not amount to substantial justification or other circumstances making the imposition of the sanction unjust.

Regarding the sanctions amount, Defendant’s minimal reply brief renders the anticipated 3 hours of attorney time unreasonable. The Court will award one hour of time toward the preparation of the reply. This brings the sanctions amount to $1,165.00. Therefore, the Court GRANTS monetary sanctions against Plaintiff and/or Plaintiff’s counsel in the amount of $1,165.00 to be paid within 30 days of the date of service of the final order.

Defendant shall prepare and submit the final order, accompanied by the necessary Form EFS-020, within 10 days of the date of the hearing.

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Calendar Line 3

Case Name: *Dali Chaia v. Genesis Motor America*
Case No.: 25CV465834

In this Song-Beverly Warranty Act case, defendant Genesis Motor America LLC ("Genesis") moves to compel arbitration based on two agreements with plaintiff Dali Levanovna Chaia ("Chaia"): (1) the 2022 Owners Handbook & Warranty Information; and (2) a Bluelink Connected Services Agreement ("CSA").

Genesis' request for judicial notice of the complaint in this matter is granted. (Evid. Code, § 452, subd. (d).) However, Genesis' request for judicial notice of the 2022 Owner's Handbook and Warranty Information is denied. (See *Gould v. Md. Sound Indus.* (1995) 31 Cal.App.4th 1137, 1145 [noting that facts and propositions not reasonably subject to dispute include "facts which are widely accepted as established by experts and specialists in the natural, physical, and social sciences which can be verified by reference to treatises, encyclopedias, almanacs, and the like or by persons learned in the subject matter."].) Simply because the 2022 Owner's Handbook and Warranty Information is available on the Internet does not mean that it is not reasonably subject to dispute. (*Huitt v. Southern California Gas Co.* (2010) 188 Cal.App.4th 1586, 1605, fn. 10.)

Chaia's evidentiary objections are overruled. The moving party can meet their burden of producing prima facie evidence of a written agreement to arbitrate by "attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature. Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion." (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165-165 [internal citations and quotations omitted].) While the Court separately addresses the lack of Chaia's signature below, Genesis has nevertheless attached a copy of the warranty to its motion and has set forth the relevant provisions in its moving papers. While Ms. Richards may not be the custodian of records for the warranty booklet, "[f]or purposes of a petition to compel arbitration, it is not necessary to follow the normal procedures of authentication." (*Ibid.*) In any event, Genesis also attaches the warranty to the Declaration of Karla Osorio who claims she has personal knowledge "acquired in the course and scope of my job responsibilities at GMA and through my review of pertinent documents maintained and relied on in the ordinary course of business by GMA and its affiliated entities." "[T]he custodian of a document need not have been present or employed when the document was created or signed to authenticate a document in a company's files." (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 758-759.) The objections to the Declaration of Vijay Rao are overruled for the same reasons as his declaration is also based on personal knowledge acquired in the course of his job duties and by review of the documents maintained in the ordinary course of business.

1. **2022 OWNERS HANDBOOK & WARRANTY INFORMATION**

The vehicle warranty upon which Chaia brings this action is one of a series of warranties contained in a 48-page document titled "2022 Owner's Handbook and Warranty Information" ("Owners Handbook"). The arbitration provision appears on pages 12-14 of the Owner's Handbook and states, in relevant part, that the parties "each agree that any claim or disputes between us (including between you and any of our affiliated companies) related or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, and any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty . . . shall be resolved by binding arbitration at either your or our election even if the claim is initially filed in a court of law . . . ." (Declaration of Karla Osorio Montalvan, Ex. A at p. 12.) It goes on for another page and a half, toward the end of which it states: "This agreement evidences a transaction involving interstate commerce and shall be governed by the Federal Arbitration Act, 9 U.S.C. § 1-16." (*Id.* at p. 14.) The Owner's Handbook is not signed and there is no evidence that Chaia was made aware of the text of the warranties in this document or the arbitration provision contained therein before she purchased his 2022 Genesis GV70 vehicle from the dealer.

Chaia also argues the Magnuson-Moss Warranty Act ("MMWA") precludes binding arbitration of warranty disputes. The Ninth Circuit withdrew its opinion interpreting the MMWA to prohibit pre-dispute mandatory binding arbitration clauses in warranty agreements. (*Kolev v. Euromotors West/The Auto Gallery* (2012) 676 F.3d 867.) In the absence of binding authority, the Court looks to other jurisdictions for guidance. The Fifth Circuit Court of Appeals has found that the MMWA does not preclude binding arbitration. (See, e.g., *Walton v. Rose Mobile Homes LLC* (5th Cir. 2002) 298 F.3d 470, 473-479.) The court noted that "binding arbitration is not normally considered to be an 'informal dispute settlement procedure,' and it therefore seems to fall outside the bounds of the MMWA and of the FTC's power to prescribe regulations." (*Id.* at p. 476.) The court concluded that the text, legislative history, and purpose of the MMWA do not show a congressional intent to bar arbitration of MMWA written warranty claims. (*Id.* at pp. 478-479.) The Eleventh Circuit Court of Appeals has likewise held that the MMWA allows for the enforcement of otherwise valid arbitration agreements. (*Davis v. Southern Energy Homes, Inc.* (11th Cir. 2002) 305 F.3d 1268, 1271-1272.) Similarly, California favors arbitration as a matter of public policy. (Code Civ. Proc. § 1280 et seq.) Thus, while arbitration may be precluded on other grounds, it is not precluded by the MMWA.

Under the Federal Arbitration Act ("FAA"), the court's role is limited to determining "(1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute as issue." (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine "whether a valid contract to arbitrate exists," courts apply "ordinary state law principles that govern contract formation." (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

a. **MUTUAL ASSENT**

Here, there is no indication that Chaia signed the Owner's Handbook or knew of its provisions at the time of sale. Therefore, there was no mutual assent supporting a valid agreement. Under certain circumstances, including those involving an unsigned *handbook*, a contract may be void if "a party, before making the agreement, lacks reasonable opportunity to learn its terms." (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 790 [addressing arbitration provision contained in an employee handbook] [citing *Rosenthal v. Great Western Financial Securities Corp.* (1996) 14 Cal.4th 394, 421].) As noted in *Norcia v. Samsung Telecommunications America, LLC* (9th Cir. 2017) 845 F.3d 1279 (*Norcia*), another case involving an unsigned brochure (entitled "Product Safety & Warranty Information"): "Even if there is an applicable exception to the general rule that silence does not constitute acceptance, courts have rejected the argument that an offeree's silence constitutes consent to a contract when the offeree reasonably did not know that an offer had been made." (*Norcia*, 845 F.3d at p. 1285 [applying "basic principles of California contract law"].)

Recently, the Second District Court of Appeal in *Kostandian v. American Honda Motor Co., Inc.*, 2026 Cal.App. LEXIS 332[1], considered whether a valid agreement to arbitrate existed under a warranty booklet. The court there found in the affirmative because the lease agreement included a final inspection at delivery sheet that the respondent signed and initialed confirming his receipt of the owner's manual and warranty information. (*Id.* at *16.) The facts here are distinguishable from *Kostandian*. There is no evidence that the warranty was presented in any manner to Chaia. Additionally, Chaia did not sign any documents confirming receipt of the Owner's Handbook. Thus, there is no evidence of assent by Chaia to the arbitration provisions here. In sum, unlike *Kostandian*, there are no facts supporting an outward manifestation of assent. "California law is clear—'an offeree, regardless of apparent manifestation of his consent is not bound by inconspicuous contractual provisions of which he was unaware, contained in a document whose contractual nature is not obvious.'" (*Long v. Provide Commerce, Inc.* (2016) 245 Cal.App.4th 855, 862 [internal citations omitted].)

b. **EQUITABLE ESTOPPEL**

Genesis argues that notwithstanding Chaia's lack of assent and lack of knowledge regarding the arbitration provisions, she is now barred by equitable estoppel from challenging these provisions in the vehicle warranty because she has affirmatively asserted the warranty by seeking repairs from Genesis and bringing this Song-Beverly Action.

A nonsignatory to a contract is generally " 'estopped from avoiding arbitration if [he] knowingly seeks the benefits of the contract containing the arbitration clause.' [Citation.] Equitable estoppel, thus, 'precludes a party from claiming the benefits of a contract while simultaneously attempting to avoid the burdens that contract imposes.'" (*Philadelphia Indemnity Insurance Co. v. SMG Holdings, Inc.* (2019) 44 Cal.App.5th 834, 841 [citations omitted].) But warranties like that found in the Owner's Handbook are "governed by a different set of rules" in California: "A seller is bound by any express warranties given to the buyer, including statements in written warranty agreements, advertisements, oral representations, or presentations of samples or models. [Citations.] Language in a written warranty agreement is 'contractual' in the sense that it creates binding, legal obligations on the seller [citation], but a warranty does not impose binding obligations on the buyer. Rather, warranty law 'focuses on the seller's behavior and obligation—his or her affirmations, promises, and descriptions of the goods—all of which help define what the seller in essence agreed to sell.' [Citations.] A buyer may have to fulfill certain statutory conditions to obtain the benefit of a warranty. See, e.g., Cal. Civ. Code[,] § 1793.02(c) (stating that '[i]f the buyer returns the [assistive device for an individual with a disability] within the period specified in the written warranty,' the seller must adjust or replace the device (emphasis added)). But a

[1] Appellant Honda Motor America also moved to compel arbitration pursuant to a lease agreement executed by its wholly owned subsidiary financing company that was named as a party therein. This case is also distinguishable because Genesis does not move to compel arbitration pursuant to the lease agreement, and the CSA is limited in scope to Bluelink services only as discussed below.

warranty generally does not impose any independent obligation on the buyer outside of the context of enforcing the seller's promises." (*Norcia*, *supra*, 845 F.3d at p. 1288.)

Norcia was not an equitable estoppel case, because the plaintiff there did not attempt to enforce the warranty. But its reasoning is nonetheless persuasive. A warranty is an atypical contract. It is essentially one-sided, even though it is offered only after a buyer has agreed to pay for something pursuant to a sales contract. And it imposes obligations on a seller (or, in this case, on a manufacturer who passes the car into the stream of commerce through an authorized dealer who is the actual "seller"), but no independent, free-standing obligations on a buyer. It is unreasonable to expect a car buyer to know or anticipate that the buyer is necessarily agreeing to arbitrate all claims against that manufacturer merely by receiving a pre-printed warranty in an owner's handbook.

The proposition that a manufacturer can compel arbitration in virtually every Song-Beverly case simply by inserting language into an owner's handbook—without ever calling the buyer's attention to that language—runs counter to the reasoning of *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122. In that case, the Supreme Court concluded that a manufacturer could not enforce an arbitration provision in a sales contract to which its authorized dealer and a car buyer both affirmatively assented (but to which the manufacturer itself was not a party). (*Id.* at p. 1126.) Allowing a car manufacturer to perform an end-run around that decision simply by inserting an undisclosed and unsigned arbitration provision into an owner's handbook containing warranty terms would be an inequitable result. (*UFCW & Employers Benefit Trust v. Sutter Health* (2015) 241 Cal.App.4th 909, 929 [" 'The linchpin for equitable estoppel is . . . fairness.' "].) In contrast to other reported California decisions in which the equitable estoppel has been applied, the present case "does not present the unfairness that equitable estoppel is designed to avoid." (*Id.* at p. 931.)

2. **THE BLUELINK CSA**

As for the Bluelink Connected Services Agreement, the Court notes that in contrast to the vehicle warranty, Genesis does contend that Chaia "signed" the agreement including its arbitration provision, when she electronically clicked a box on a dealer-owned device, such as a tablet, acknowledging that she had read and agreed to the Blue Link Terms & Conditions. (Declaration of Vijay Rao ["Rao Decl."] at ¶¶ 18, 19, Ex. A.) The arbitration provision in the CSA is broad:

> (a) Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services, Connected Services Systems, Service Plans, the Vehicle, use of the sites or products, services, or programs you purchase, enroll in or seek product/service support for, whether you are a Visitor or Customer, via the sites or through mobile application, except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law . . . The agreement to arbitrate otherwise includes, but is not limited to:

> Claims based on contract, tort, warranty, statute, fraud, misrepresentation or any other legal theory; claims that arose before this or any prior Agreement (including, but not limited to, claims relating to advertising) . . .

(Rao Decl., Ex. B at ¶ 14.)

As explained in the Declaration of Vijay Rao, "Genesis Connected Services refers to an optional Connected Services system that includes various functions and features such as remote start with climate control, remote door lock and unlock, remote car finder, on-demand diagnostics and alerts, enhanced roadside assistance, and automatic emergency assistance." (Rao Decl. at ¶ 5.) Based on the Court's review of the complaint, it appears that *none* of these services are a part of the present Song-Beverly action. Instead, Chaia has sued for "serious defects and nonconformities to warranty including, but not limited to electrical, structural, suspension, and transmission system defects." (Complaint at ¶ 10.) Chaia also sues for tail lamp abnormalities, abnormal noise emitting from the rear area, and abnormal noise emitted upon depressing the brake and gas pedal. (*Id.* at ¶¶ 11-15.) Under no stretch of the imagination are these complained-of defects in the car a part of the "connected services" provided by the Bluelink technology.

As a result, the court finds that the arbitration provision in the CSA does not apply to the present action. Although the language of the CSA arbitration provision is exceedingly broad and contains the words "the Vehicle" and "warranty" in the above quoted language, the court concludes that reading this agreement governing "connected services" to be broad enough to govern *any and all disputes relating to the vehicle as a whole* would be illogical and unwarranted. It is not a reasonable interpretation of the CSA provision, when read as a whole, and the court rejects it.

The Court denies the motion to compel to the extent that it is based on the arbitration provision contained in the CSA. Since the vehicle warranty does not create an agreement to arbitrate and the scope of the CSA does not cover Chaia's claims, the Court need not address the parties' additional arguments regarding delegability, unconscionability, or the reimbursement of costs.

3. **CONCLUSION**

The motion to compel arbitration is DENIED.

Plaintiff shall prepare and submit the final order, accompanied by the necessary Form EFS-020, within 10 days of the date of the hearing.

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Calendar Line 6

Case Name: *Rafael Herrera v. FCA US LLC*
Case No.: 25CV469397

Plaintiff seeks an order imposing monetary and evidentiary sanctions on Defendant pursuant to Code of Civil Procedure Section 871.26, subdivision (j).

Parties may conduct initial depositions within 120 days after the filing of the answer. (§ 871.26, subd. (c).) This includes "the person who is most qualified to testify on the defendant's behalf" where it is not a natural person. (§ 871.26, subd. (c)(2).) Unless the noncomplying party shows good cause, the court shall impose a "two-thousand-five-hundred-dollar ($2,500) sanction against the defense attorney . . . for failure to comply with . . . subdivision (c)," paid within 15 business days. (§ 871.26, subd. (j)(2).)

Defendant does not dispute it missed the deadline imposed by Section 871.26. (McKay Decl. ¶¶ 3-5.) Instead, it argues that it had good cause due to "an administrative error." (McKay Decl. ¶ 5.) The Court is not convinced this is good cause. Indeed, allowing the broad and arguably vague term "administrative error," by itself, to establish good cause runs the risk of completely nullifying the statutory obligation. And Defendant provides no persuasive authority that the discovery scheme enumerated in section 871.26 requires a showing of bad faith or prejudice or is subject an exception for "substantial justification."

Plaintiff's motion for monetary sanctions in the amount of $2,500 is GRANTED, to be paid by Defendant's counsel within 15 business days.

Plaintiff also seeks evidentiary sanctions. For a "defendant's repeated noncompliance with subdivision (b), (c), or (d), a court shall order that evidentiary sanctions attach" precluding the defendant from introducing certain evidence at trial. (§ 871.26, subd. (j)(4).) Plaintiff argues that Defendant's counsel's noncompliance in other actions constitutes repeated violations, referring to six cases where Defendant, represented by the same counsel, allegedly failed to comply with Section 871.26. The court disagrees. While counsel's frequent noncompliance with Section 871.26, if true, would be concerning, the Court has found no authority authorizing evidentiary sanctions for violations in other cases, and Plaintiff has cited none. Accordingly, Plaintiff's motion for evidentiary sanctions is DENIED.

Plaintiff shall prepare and submit the final order, accompanied by the necessary Form EFS-020, within 10 days of the date of the hearing.

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Calendar Line 7

Case Name: *Jun Lu v. Rozita Dadgostari*
Case No.: 25CV471942

Before the Court is Defendant Rozita Dadgostari's ("Defendant" or "Dadgostari") demurrer to the first, second, third, and fourth causes of action alleged in the complaint filed by Plaintiff Jun Lu a/k/a June Lu ("Plaintiff" or "Lu").[2]

According to the allegations of the complaint, Dadgostari failed to make full payment to purchase Lu's 30% membership interest in Stanford Education Foundation, LLC ("SEF") for $500,000. (Complaint, ¶ 1.) Lu is a co-founder of SEF and holds a 30% membership interest in SEF. (*Id.* at ¶ 8.) In June 2023, Dadgostari approached Lu about buying Lu's 30% membership interest in SEF. (*Id.* at ¶ 9.) In late 2023, Dadgostari entered into a purchase agreement with Lu (the "Purchase Agreement"). (*Id.* at ¶ 10.) One condition for closing, set forth in section 2.4(a) of the Purchase Agreement, required Dadgostari to pay Lu $500,000 by wire transfer. (*Id.* at ¶ 12.) Around January 1, 2024, Dadgostari issued two checks to Lu, one for $342,382 and another for $100,000. (*Id.* at ¶ 15.) Upon receiving the two checks, Lu questioned Dadgostari as to why the payment was incomplete. (*Ibid.*) Dadgostari stated that she did not pay the remaining balance due to concerns regarding a small business administration loan associated with the business. (*Id.* at ¶ 16.) Dadgostari falsely represented to Lu that Dadgostari intended to obtain a loan and would provide the remaining balance. (*Id.* at ¶ 17.) Ultimately, Dadgostari paid a total of $442,382. (*Id.* at ¶ 20.) In mid to late January 2024, Lu followed up with Dadgostari regarding the remaining $57,618 that Dadgostari owned under the Purchase Agreement. (*Id.* at ¶ 21.) Dadgostari again promised Lu that Dadgostari planned to pay the full purchase price. (*Ibid.*) When Dadgostari did not pay, Lu told Dadgostari that Lu was terminating the Purchase Agreement and on June 24, 2024 Lu sent Dadgostari a written notice terminating the Purchase Agreement pursuant to section 5.1(b) of the Purchase Agreement. (*Id.* at ¶¶ 26-27.)

Lu filed the complaint on July 29, 2025, alleging the following causes of action: (1) fraud; (2) conversion; (3) breach of contract; (4) unjust enrichment; and (5) receiving stolen property.

The Court GRANTS judicial notice of Exhibits A through C to Dadgostari's request for judicial notice under Evidence Code section 452, subdivision (d). (Dadgostari's Request for Judicial Notice ("RJN"), Exs. A-C; Evid. Code, ¶ 452, subd. (d).) The Court takes judicial notice of the existence of these exhibits but does not take notice of the truth of any disputed contents of these exhibits. (*Oh v. Teachers Ins. & Annuity Assn. of America* (2020) 53 Cal.App.5th 71, 80-81 (*Oh*) [truth of contents of court records cannot be judicially noticed].)[3]

[2] Dadgostari also initially demurred to Lu's complaint on the grounds of another action pending, but Dadgostari filed an amended demurrer on March 18, 2026 withdrawing this argument.

[3] The court notes that Dadgostari appears to have withdrawn her request for judicial notice as part of filing an amended demurrer on March 18, 2026. To the extent Dadgostari did not intend to withdraw this request, the court grants judicial notice, as discussed.

The Court GRANTS judicial notice of Exhibits 1 and 2 to Lu's request for judicial notice. (Evid. Code, ¶ 452, subd. (d); *Greenspan v. LADT LLC* (2010) 191 Cal.App.4th 486, 525 ["The trial court properly took judicial notice of the arbitration award."].) The Court takes judicial notice of the existence of these exhibits but does not take notice of the truth of any disputed contents of these exhibits. (*Oh, supra,* 53 Cal.App.5th at pp. 80-81.)

The Court SUSTAINS Dadgostari's demurrer to the complaint's first cause of action with 10 days' leave to amend. "The well-known elements of a cause of action for fraud are: (1) a misrepresentation, which includes a concealment or nondisclosure; (2) knowledge of the falsity of the misrepresentation, i.e., scienter; (3) intent to induce reliance on the misrepresentation; (4) justifiable reliance; and (5) resulting damages." (*Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, 519, citing *Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173.) As a general rule, each element in a fraud cause of action must be pled with specificity. (*Ibid.*) This particularity requirement "necessitates pleading *facts* which show how, when, where, to whom, and by what means the representations were tendered." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645 (*Lazar*), emphasis original, internal citation and quotation marks omitted.)

The Court will first address Dadgostari's damages argument. The Court agrees with Dadgostari that the allegations in paragraph 54 of the complaint appear to allege damages suffered by SEF, rather than Lu, and that these damages are derivative in nature. (Complaint, ¶ 54 ["Plaintiff was damaged by Defendant's conduct, which allowed Defendant to prematurely insert herself in Plaintiff's place, gain access to SEF's finances, misappropriate $45,000 from SEF's funds in a purported effort to pay the remaining balance of $57,618 due under the Purchase Agreement, and engage in conduct intended to devalue SEF . . ."]; *Sirott v. Superior Court* (2022) 78 Cal.App.5th 371, 381 ["Under these principles, a corporation's shareholders have no direct cause of action or right of recovery against those who have harmed [the corporation], but they can bring a derivative suit to enforce the corporation's rights . . ."], internal citation and quotation marks omitted.)

However, Lu argues that complaint also sufficiently alleges other forms of damage that Lu suffered directly. (Opposition to Demurrer ("Opposition"), pp. 4:23-5:12.) Dadgostari, in turn, argues that these damages are speculative and insufficiently pled. (Memorandum of Points and Authorities in Support of Demurrer ("MPA"), p. 6:1-16.) The Court disagrees. A complaint's "failure to ascribe a dollar amount to . . . elements of damage [is] not fatal to [a] pleading." (*Furia v. Helm* (2003) 111 Cal.App.4th 945, 956 (*Furia*).) As such, the complaint does not need to identify a specific dollar amount of damages, as Dadgostari seems to suggest. (MPA, p. 6:15-16.) Moreover, the Court of Appeal in *Furia* found sufficient the allegation that a plaintiff "was put to the expense of defending the charge of abandonment" because this allegation described "in a meaningful way the manner in which [the plaintiff] was damaged by his reliance on [the defendant's] advice." (*Id.* at pp. 956-957.) Here, the complaint alleges that Dadgostari's conduct "deprived Plaintiff of opportunities to work with other potential buyers while the Purchase Agreement remained in force" and Lu "was induced to sign the purchase agreement and subsequently refrain from immediate enforcement of Defendant's outstanding payment obligations or immediately demanding termination." (Complaint, ¶¶ 53, 55.) These allegations describe "the manner in which" Lu was damaged by Dadgostari's alleged fraudulent conduct. Whether or not Lu can substantiate these damages is beyond the reach of a demurrer.

The Court also disagrees with Dadgostari that the complaint does not sufficiently allege knowledge of falsity. (MPA, p. 5:26-27.) False "representations made recklessly and without regard for their truth in order to induce action by another are the equivalent of misrepresentations knowingly and intentionally uttered." (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974, internal citation and quotation marks omitted.) With this in mind, the Court notes that the complaint alleges that Dadgostari made intentional misrepresentations "recklessly with the intent for Plaintiff to rely upon" them. (Complaint, ¶ 52.) This allegation is sufficient.

But the Court is persuaded by Dadgostari's remaining argument. The Court agrees with Dadgostari that the allegations underlying the complaint's first cause of action do not meet the heightened pleading standard necessary to sufficiently allege fraud. The complaint alleges that Dadgostari "made numerous misrepresentations of material fact regarding her intent and ability to pay the $500,000 due under the terms of the Purchase Agreement." (Complaint, ¶ 50.) This allegation does not allege the "when, where, to whom, and by what means" any alleged misrepresentations were made. (*Lazar, supra,* 12 Cal.4th at p. 645.) The complaint's allegation that "Defendant also misrepresented the fact that she would perform her obligation under the Purchase Agreement to pay the remaining balance of $57,618 due under the Purchase Agreement" is similarly insufficient. (Complaint, ¶ 51.) In opposition, Lu argues that the complaint's first cause of action incorporates allegations in the complaint's seventeenth, twenty-first, and twenty-fourth paragraphs. (Opposition, pp. 3:26-4:2, citing Complaint, ¶¶ 17, 21, 24.) These allegations are insufficient for various reasons—the complaint's seventeenth paragraph does not provide when any alleged misrepresentation occurred, where such a misrepresentation occurred, and by what means such a misrepresentation occurred; the twenty-first and twenty-fourth paragraphs similarly do not allege where or by what means any specific misrepresentation occurred.

The Court OVERRULES Dadgostari's demurrer to the complaint's second cause of action. "Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240, internal citation and quotation marks omitted.) Dadgostari argues that a party cannot bring a conversion claim on the basis "that the value of their stock in a corporation dropped. This is because property of a corporation is separate from the property of the shareholder, who holds interest in the company's stock, not its separate personal property or cash." (MPA, pp. 6:20-7:7, citing Corp. Code § 17300.) The Court is not persuaded by this argument. In *Holistic Supplements, LLC v. Stark* (2021) 61 Cal.App.5th 530 (*Holistic*)*,* the Court of Appeal held that the "gravamen" of the plaintiff's claims was the "injury inflicted when [d]efendants willfully took [her] membership interest" in the co-plaintiff limited liability company and the plaintiff's "membership interest in the LLC was personal property belonging to her as an individual. . . . As personal property, [the plaintiff's] membership interest could be subject to individual claims based on theft of that interest. An apt analogy is to the law of corporate stock. California law treats corporate stock as personal property, and an individual shareholder may bring personal claims for conversion based on theft of that stock. . . . [The plaintiff's] claim of conversion of her personal property membership interest in the LLC is no different. . . . [The plaintiff's] claims look nothing like the derivative claims . . . [t]hey are not based on any alleged diminution of the value of the LLC's assets. . . . Instead, [the plaintiff] claims [the defendant's] actions in reorganizing the LLC and naming himself as sole shareholder amounted to theft of her personal property membership interest in the LLC." (*Holistic, supra,* 61 Cal.App.5th at pp. 542-543, internal citations and quotation marks omitted.) Here, similar to the plaintiff's allegations in *Holistic,* the complaint alleges that Dadgostari "knowingly and intentionally converted Plaintiff's 30% interest in SEF to herself. . . . Defendant never became a member of SEF as Defendant never fulfilled the terms of the Purchase Agreement and closing never occurred. This conversion of Plaintiff's 30% interest in SEF to Defendant harmed Plaintiff." (Complaint, ¶¶ 60-61.)

The Court SUSTAINS Dadgostari's demurrer to the complaint's third cause of action with 10 days' leave to amend. To state a breach of contract cause of action, a plaintiff must allege: (1) the existence of a contract; (2) the plaintiff's performance or excuse for nonperformance; (3) the defendant's breach; and (4) damage to the plaintiff resulting from that breach. (See *Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 228 (*Rutherford*).) Dadgostari argues both that the complaint does not allege that Lu fulfilled her obligations under the Purchase Agreement and that the complaint does not sufficiently plead damages. (MPA, p. 7:10-17.) The Court agrees. Along with incorporating the complaint's preceding allegations, the complaint recites alleged terms of the Purchase Agreement, alleges that "Defendant breached the Purchase Agreement by failing to pay Plaintiff the full $500,000 purchase price despite multiple demands by Plaintiff," and alleges that "as a proximate result of Defendant's breach of the Purchase Agreement, the condition precedent in § 2.4(a) of the Purchase Agreement was never satisfied and closing never occurred." (Complaint, ¶¶ 63-69.) These allegations sufficiently state the existence of a valid contract and breach. However, they do not actually allege that Lu suffered damages as a result of any alleged breach of contract—rather, the complaint alleges that a condition precedent and "closing" never occurred. (*Id.* at ¶ 69.) Nor do they allege that Lu performed her obligations under the Purchase Agreement or was excused from doing so. In opposition, Lu explains that her performance under the Purchase Agreement "never became due" and therefore her "performance [was] excused as a matter of law." (Opposition, p. 6:12-21.) But the complaint itself does not actually allege this.

The Court SUSTAINS Dadgostari's demurrer to the complaint's fourth cause of action with 10 days' leave to amend. Dadgostari is technically correct that unjust enrichment "is not a cause of action, however, or even a remedy, but rather a general principle, underlying various legal doctrines and remedies." (*McBride v. Boughton* (2004) 123 Cal.App.4th 379, 387 (*McBride*), internal citation and quotation marks omitted.) However, the labeling of a cause of action as "unjust enrichment" is not dispositive of whether a cause of action has been stated. (*McBride, supra,* 123 Cal.App.4th at p. 387.) A court deciding a demurrer must look to the gravamen of the complaint to determine if any cause of action is stated. (*Ibid.*) "The nature and character of a pleading is to be determined from the *facts alleged,* not the name given by the pleader to the cause of action." (*Ananda Church of Self-Realization v. Massachusetts Bay Ins. Co.* (2002) 95 Cal.App.4th 1273, 1281, emphasis original, internal citation omitted.)

With this in mind, the Court notes that Lu argues in opposition that the complaint has sufficiently alleged an "inequitable benefit" that the "quasi-contract doctrine is designed to remedy." (Opposition, p. 7:17-23, internal citation omitted.) As such, Lu appears to contend that the complaint's fourth cause of action sufficiently pleads an action in quasi-contract. The Court disagrees. An "action based on an implied-in-fact or quasi-contract cannot lie where there exists between the parties a valid express contract covering the same subject matter. However, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason. Thus, a party to an express contract can assert a claim for restitution based on unjust enrichment by alleg[ing in that cause of action] that the express contract is void or was rescinded." (*Rutherford, supra,* 223 Cal.App.4th at p. 231, internal citations and quotation marks omitted; see also *ibid*. ["A claim for restitution is permitted even if the party inconsistently pleads a breach of contract claim that alleges the existence of an enforceable agreement."], internal citation omitted; *Klein v. Chevron U.S.A., Inc.* (2012) 202 Cal.App.4th 1342, 1388-1389 ["A plaintiff may not, however, pursue or recover on a quasi-contract claim if the parties have an enforceable agreement regarding a particular subject matter. . . . Although a plaintiff may plead inconsistent claims that allege both the existence of an enforceable agreement and the absence of an enforceable agreement, that is not what occurred here. Instead, plaintiffs' breach of contract claim pleaded the existence of an enforceable agreement and their unjust enrichment claim did not deny the existence or enforceability of that agreement."].) The complaint's fourth cause of action does not allege any facts denying the "existence or enforceability" of the Purchase Agreement. (Complaint, ¶¶ 70-77.) Therefore, although the Court does not agree with Dadgostari that it can sustain Dadgostari's demurrer to the fourth cause of action purely on the basis that an unjust enrichment cause of action does not exist in California, the Court otherwise finds that the complaint's fourth cause of action is insufficiently pled.

The Court will prepare the final order.

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